

Shareholders Group Meeting Minutes

August 24, 2026

Type of meeting: Informal shareholders' organizing group (in-person)

Note: Meeting was recorded and transcribed; minutes below are cleaned up and organized by topic, not in strict chronological order.

1. Purpose of the Shareholders Group

- Build community and share information among shareholders.
- Support each other when raising issues (e.g., multiple shareholders reporting the same problem, such as calling 311 about flooding, carries more weight than one person doing it alone).
- Improve shareholder involvement in decision-making and communication.
- Increasing participation in meetings and elections — attendance has historically been low and limited to the same small group of people.
- Establish a clear process for bringing shareholder concerns to the board.
- Understand what options are available to shareholders under the co-op bylaws.

2. Communication & Organization

- Fiona has created a shared Google Doc/spreadsheet listing shareholder names and apartment numbers (still being completed — not everyone is listed yet).
- Group will collect everyone's email addresses to supplement the WhatsApp group, since email is needed for more formal communications.
- Bylaws (from 1988) have been run through AI tools (ChatGPT and Claude) to translate legal language into plain terms. Noted limitation: the bylaws document may be outdated, since amendments since 1988 aren't reflected — we can request to see any amendments that have been made since to have a complete understanding of our bylaws.

3. Board Structure & Upcoming Elections

- **Current board:** 6 active members (even number — not ideal for tie-breaking). Bylaws originally called for 9 board members; the group believes the number dropped over time, likely due to lack of candidates.
- **Important:** There is a 7th board member (representing a large unit/high-share ownership (a non-resident, rental-related owner) is entitled to board representation but reportedly never attends meetings or participates in board decision making
- **Two board seats are opening up** (two directors (Nicolas and Geri) are leaving).
- Directors are largely a "voice and vote" role with no specific title/responsibility (unlike treasurer, secretary, president, VP).
- The group discussed requesting that the board return to 9 seats, which would open 4 seats total for shareholders to run for, rather than 2.
- Uncertainty remains about how board members are assigned specific positions (president, secretary, etc.) once elected; some suspect this happens informally within the board.

Action items

- Request in writing that the board/management confirm whether the board can be expanded back to 9 seats.
- Identify and encourage multiple shareholders to run for the open board seats.
- Clarify (via bylaws or legal advice) whether split votes are possible if multiple people from one apartment want to run.

4. Removing Board Members (Bylaws Research)

Key findings from the bylaws (paraphrased):

- No cause is required to remove a director. A majority vote at a properly called special meeting is sufficient. The removal vote must occur at a meeting specifically called for that purpose (cannot be added to unrelated business).
- Special meetings can be called by: the president, a majority of the board, or the secretary.
- The secretary is obligated to call a special meeting if shareholders owning at least 25% of outstanding shares request it in writing (Article 2, Section 2).
- Automatic removal (no vote needed) applies only to directors seated by the sponsor/unsold shares holder, if that qualifying status changes.
- Process: (1) gather signatures from shareholders owning 25%+ of shares requesting a special meeting in writing; (2) notice goes out stating the purpose (removal); (3) majority vote of shareholders present at that meeting removes the director; (4) the vacancy is then filled by majority vote of the remaining directors (per Article 3, Section 4).
- **Group's stance:** Not seeking to pursue removal and prefers to try direct engagement and pressure first.

5. Recent Financial & Renovation Concerns

Lobby/Hallway Renovation

- Renovation went significantly over budget (~80% over; original budget ~\$200,000; actual cost reported around \$200,000+ over, with figures like \$212,000 mentioned).
- No design options were presented to shareholders before decisions were made (e.g., carpet selection, Christmas decorations costing ~\$5,000).
- Requests to see design renderings were delayed for over a month.
- General concern: lack of transparency in how renovation decisions and spending were made.

New Lobby Carpet

- New carpet has already been ordered and it cannot be cancelled (vendor contract already signed).
- Cost cited: approximately \$32,000 for the lobby carpet, roughly \$205 per square yard, which multiple members felt was excessive for standard commercial carpet.
- Consensus among attendees: tile would have been a better choice than carpet, primarily due to the flooding issue.

Action items:

- Try to identify the carpet vendor/product & call vendors for comparison quotes.
- Request to see the contract for the carpet purchase.
- Get 2–3 independent contractor bids for tile as a comparison point.

Drainage/Flooding Issue

- Building experienced flooding (at least twice within a short period), which caused water damage to some apartments on 1st floor and was partially covered by insurance.
- Insurance deductible is \$50,000; due to work needing to be done in the apartments on the first floor to replace floors, etc., the carpet replacement cost (~\$32,000) was folded into that insurance claim
- Should the lobby flood again and carpet get damaged, since the deductible is \$50,000 the carpet will not be covered and we will have to pay for it ourselves.
- Theory discussed: when additional drains were added, the original drains which drained into the city system, may have been disconnected, and new drains may be routing water into the building's internal drainage system instead of the city system — potentially the cause of flooding issue in the 1st floor apartments. That problem never arose in the past when our lobby was flooded.
- A drainpipe in the back courtyard was reportedly cut during a roof job (~5–10 years ago) and never reconnected, potentially contributing to drainage problems.
- Management has scheduled an engineer to inspect and "snake" the pipes this week to trace water flow before the next storm.
- Group agreed: fixing the drainage should happen before/independent of the carpet decision, and is the top priority.

General Financial Concerns

- Maintenance fees are expected to increase in January.
- Maintenance increases have occurred nearly every year recently (one member cited nearly a 30% increase in recent years), following a prior ~5-year period with no increases.
- Group wants a breakdown of what recent maintenance increases are attributable to (renovations, Local Law compliance, general inflation/utilities, etc.).
- Building currently has approximately \$190,000 in reserve funds — described as very limited.
- Concerns raised about contractor/vendor selection
- Landscaping contract questioned — service frequency (weekly) seen as possibly excessive relative to the building's grounds and history of monthly services in years prior
- Reported monthly maintenance income: approximately \$130,000.

6. Building Safety Incident (Fire)

- A recent incident: a resident's self-cleaning oven cycle started unintentionally, creating heavy smoke. The resident could not reach the superintendent (Joe) and eventually called 911; she evacuated without her keys and was locked out while the fire department responded.
- A separate, earlier incident (a few months prior) involved smoke coming from another resident's apartment (they had fallen asleep while cooking); a neighbor called 911 after being unable to reach anyone by knocking.
- Discussion of gas/smoke detector coverage in individual apartments — some residents have multiple detectors, others are unsure of building-wide requirements.
- Question raised about superintendent coverage — Joe is reportedly not on-site on weekends; another staff member (Devon) is on call until 5 p.m.
- Fire safety measures (e.g., additional fire extinguishers or fire blankets) were reportedly declined by the board/management due to cost/mood at the time — seen by some in the group as a punitive response to recent shareholder complaints.
- Question raised: whether the board is obligated to notify all residents about safety incidents like this, even if no other units were affected. Not resolved.

7. Communication with the Board / Meeting Access

- Board (management company) holds monthly board meetings; shareholders are permitted to attend the first 15–20 minutes.
- Idea proposed and well-received: designate a rotating shareholder representative (or small rotating group) to attend the first portion of each monthly board meeting on behalf of the shareholder group, presenting a short, prioritized list of concerns (to avoid time overruns or talking over each other).
- Idea proposed for the upcoming annual shareholders' meeting: have one designated representative speak on behalf of the group, with shareholders signing forms authorizing that person to represent them, to keep the meeting focused and avoid repetition.
- Concern raised that there is no direct communication channel to board members (only through management, which the group feels is an ineffective relay). No resolution reached on how to change this.

8. Voting Process Concerns

- Some shareholders have expressed discomfort with how votes are currently collected/counted (currently handled by the superintendent, Joe), citing concerns about privacy and possible retaliation.
- Idea raised: votes should be submitted directly to the building's attorney (or another neutral third party) rather than passing through building staff, to ensure privacy/anonymity.
- Clarified during discussion: proxy votes only allow a designated person to submit another shareholder's vote — the proxy holder does not get to choose how that vote is cast.
- Shareholders do not need to be physically present at a meeting to vote (proxy or mail-in voting is allowed).

9. Requesting Financial Documents

- Legally, the board/management is only required to provide financial documents (e.g., annual budget/financials) roughly 24 hours before a meeting, which limits shareholders' ability to review and prepare questions in advance.
- Some members felt this timeline should be requested to be extended, though it was acknowledged this may not be legally enforceable.
- Group will request these materials be provided as early as possible going forward.

10. Other Items Discussed

- **Parking spots:** Building has a limited number of spots (~8), long-held by tenured residents/families; there is a waiting list, viewable by contacting the superintendent.
- **Board member perks:** There are none.
- **Building revenue sources:** Currently limited to parking spot fees, bike storage and gym membership; no other significant revenue streams.
- **Solar panels:** Previously discussed at a past meeting but not pursued due to budget; a neighboring building has since installed solar and heat pump/hot water systems.
- **Windows:** Shareholders can replace their own windows at their own expense, but doing so does not exempt them from contributing toward a future building-wide window replacement, which discourages people from doing it individually. No building-wide window budget currently exists.
- **Building character:** Despite the frustrations, the group affirmed they still consider it a good building and neighborhood overall.

11. Action Items Summary

Action	Owner / Notes
Draft written request to management/board re: expanding board to 9 seats (4 open positions)	To be drafted (email to Lisa at management)
Include request for shareholder representative access at start of monthly board meetings	Same email as above
Request updated/current bylaws (post-1988 amendments)	Group
Identify carpet vendor and get comparison pricing; request copy of signed carpet contract	Volunteer(s) to follow up
Get 2–3 contractor bids for tile alternative (for documentation/comparison purposes)	Volunteer(s) to follow up
Confirm date of next board meeting (likely a Tuesday in the 3 rd or last week of October)	Email Litsa (management) to confirm
Confirm annual shareholders' meeting date (expected October) and request in-person format	Email Litsa (management)
Reach out to fellow shareholders we all now and let them know about the shareholders group and see if they would like to join.	Ongoing — "homework" for all members
Consider proposing a neutral (attorney-based) vote collection process	To be raised formally with board

Next Steps

- Continue documenting findings and bylaws research; compile into a formal written document to distribute to all shareholders.
- Finalize list of specific requests/asks to bring to the board and to the annual meeting, prioritized so as not to overwhelm any single meeting.
- Schedule Zoom with larger group to discuss progress and plan for the yearly shareholders meeting